

SOURCES AND USES — THE €20m ROUND

Asterial Limited · €20m for 20 per cent · 31 August 2026

What the whole process costs, what should be paid to the person who originated the transaction, and what is left to deploy once the founder allocation and all costs are met.

Every figure is an estimated range for budgeting and negotiation. None is a quotation. No adviser has been approached. The origination fee below is a market benchmark, not an offer, and it is for discussion between the parties before it is put to anyone.

THE HEADLINE ANSWER

The working assumption of €16.0m to €16.5m available for operations is sound. Meridian's own build-up gives a range of **€16.1m to €16.9m**, with a central case of **€16.45m**. The assumption is slightly conservative, which is the right way to be wrong.

But it only lands there because of one line that is easy to leave out. See the VAT point below. Strip that out and the same model gives €16.7m; leave it in and it gives €16.45m. A quarter of a million turns on whether Astial can recover VAT on professional fees.

THE WATERFALL

	Low case	Central	High case
Funds raised	€20,000,000	€20,000,000	€20,000,000
less founder allocation	(€2,200,000)	(€2,200,000)	(€2,200,000)
Into the company	€17,800,000	€17,800,000	€17,800,000
less origination / success fee	(€300,000)	(€400,000)	(€500,000)
less legal, accounting and diligence	(€450,000)	(€700,000)	(€900,000)
less irrecoverable VAT at 23%	(€172,500)	(€253,000)	(€322,000)
Available to deploy	€16,877,500	€16,447,000	€16,078,000

Total cost of the process: €922,500 to €1,722,000, central €1,353,000. That is 4.6 to 8.6 per cent of the money that reaches the company, and 6.8 per cent in the central case. For a first institutional round with an unusual intellectual property position, that is within normal range.

THE ORIGATION FEE

One person originated this transaction: found the investor, put the deal together, and brought it to agreed terms of €20m for 20 per cent. That is the hardest part of any raise and it should be paid for. The question is how much, and the answer turns on **what is being paid for and what is not**.

What the market pays, and for what

Scope of the mandate	Typical rate	On €20m
Full corporate finance mandate — sourcing, competitive process, price, documentation, diligence management, completion	2.5 – 3.5%	€500,000 – €700,000
Sourced, negotiated and closed the terms , but does not run the diligence or the process	1.5 – 2.5%	€300,000 – €500,000
Introduction only — made the connection, no negotiation, no process	1 – 1.5%	€200,000 – €300,000

The middle row is this transaction. The origination and the price were delivered. The diligence and the process will be managed internally. That is a materially reduced scope against a full mandate, and the fee should reflect it. **Meridian's indicative figure is 2 per cent, €400,000**, as the point to open at and defend.

How it should be structured, and this matters more than the number

- **Payable on completion only.** No success fee is earned unless the money lands. If the transaction does not complete, nothing is due.
- **Split the payment.** Three quarters on completion, one quarter deferred by six months. This is normal, it keeps the originator engaged through the closing period, and it is easier to agree at the outset than to introduce later.
- **Consider part in equity.** An element taken in shares rather than cash reduces the cash cost of the round, aligns the originator with the outcome, and is frequently welcomed by someone who believes in the business. It also has to be agreed with the incoming investor, because it affects the cap table.
- **Paper it before completion, not at it.** An unpapered origination fee becomes a dispute at exactly the moment the money is on the table and the leverage has gone. This is the single most important line on this page.
- **Define what it covers and what it excludes.** Specifically: it is a fee for this transaction. It is not a retainer, it does not attach to future rounds, and it does not cover any other service.

AND THE SEPARATE ROLE

A recruitment or search mandate to build the technical team is **a different piece of work, at a different time, on a different basis**, and it should be priced and papered entirely separately.

- **It is an operating cost, not a transaction cost.** It comes out of the deployed €16m and belongs in the operating budget, not in this waterfall.
- **Market rate is 20 to 25 per cent of first-year package on contingency**, or 25 to 30 per cent on retained search. For a technical team of six to ten hires that is a meaningful figure and it should be budgeted for openly.
- **Never bundle it into the success fee.** Two roles paid through one number is impossible to audit, impossible to unwind if one relationship ends, and it is the kind of arrangement an investor's counsel asks pointed questions about.

Where one person holds more than one role, each role gets its own agreement, its own fee and its own termination. That is not a comment on any individual. It is how the arrangement stays clean when circumstances change, and it protects the person in the roles as much as the company.

THREE THINGS TO SETTLE BEFORE THE TERM SHEET

These are ordered by what they cost if they are left until afterwards.

1. HOW THE FOUNDER ALLOCATION IS STRUCTURED

The €2.2m coming off the top is **the single most consequential open item in the whole structure**, and it is not a cost line. It is a transaction in itself, and there are two entirely different ways to do it.

- **As a secondary sale.** The investor buys €2.2m of existing shares directly from the founder and subscribes €17.8m of new shares into the company. **This is the clean route.** The proceeds are a capital disposal and are taxed as such.
- **As a payment out of the company.** The full €20m subscribes for new shares and the founder is paid €2.2m afterwards. **This is the route to avoid.** It requires a lawful basis, it is taxed as income if it is remuneration, and a shareholders agreement will almost certainly prohibit it once the investor is on the register.

The tax difference is not marginal. A capital disposal at Irish CGT of 33 per cent leaves roughly €1.47m of a €2.2m sum. The same amount taken as remuneration, at marginal income tax, USC and PRSI approaching 52 per cent, leaves roughly €1.06m. **A difference of about €400,000 on the same €2.2m, decided entirely by structure.** Reliefs may be available and may change this materially. This requires a tax adviser before the term sheet, not after.

The question that has to be asked out loud: is the €2.2m the gross amount coming off the round, or the amount intended to be available personally after tax? **Those are very different numbers.** To net €2.2m at 33 per cent, roughly €3.28m of secondary is required, which is 16 per cent of the round rather than 11 per cent, and that is a different conversation with the investor.

And it must be agreed at term sheet. Founder secondary in a first institutional round is common but it is never assumed. At €2.2m it is 11 per cent of the round, which is at the upper end of what investors accept and is arguable on an €80m pre-money for a founder who has not previously taken money off the table. **Arguable is not agreed. Put it in the term sheet.**

2. VAT ON PROFESSIONAL FEES

Irish professional fees carry VAT at 23 per cent. On €1.1m of fees that is roughly €253,000. **It is recoverable only to the extent the company makes taxable supplies.** A company that is not yet trading, or whose supplies are not fully taxable, may not recover it, and it becomes a hard cash cost.

This is the line most often left out of a funding budget, and here it is the difference between €16.7m and €16.45m. Establish the VAT position with the accountants before the budget is fixed. It is a short question with a large answer.

3. WHO BEARS WHAT, AND WHO BEARS IT IF THE DEAL BREAKS

- **Transaction costs are ordinarily borne by the company**, which is what the waterfall assumes and is correct.
- **The investor's legal costs are also normally borne by the company, and the cap is a term sheet item.** A hard figure, not "reasonable costs". €100,000 to €125,000 is a fair ask on a €20m round.
- **Costs attributable to the founder allocation are arguably the founder's, not the company's.** A secondary sale is a personal transaction. The advice on it, and any part of an origination fee properly referable to it, sits personally. Settle this early; it is uncomfortable to raise at completion.
- **Broken deal costs.** Most of the spend is incurred before completion and remains payable if the transaction fails. **The term sheet should say who bears it if the investor walks.**

MANAGING THE PROCESS INTERNALLY

The intention is to run diligence and process management internally, using the tools available, with professionals engaged where they are genuinely required. **Meridian's read is that this is the right call and it is where the real saving sits.**

What it saves

- **The process-management element of a full corporate finance mandate**, which is the difference between a 2.5 to 3.5 per cent fee and a 1.5 to 2.5 per cent one. On €20m that is €200,000 or more.
- **Preparation, assembly and coordination.** Data room construction, document indexing, diligence request tracking, first-pass responses, management information assembly. This is where the hours go and it is the work most amenable to being done well internally.

What it does not save, and this should be understood clearly

- **Investor-side costs.** Their counsel, their financial diligence, their technical diligence. Those are their appointments, at their rates, and internal effort does not reduce them.
- **Drafting and negotiation of the transaction documents.** The subscription and shareholders agreement, the constitution, the disclosure letter and the warranties are legal work and they require a solicitor. **This is not a place to economise.**
- **Tax structuring.** See the founder allocation above. The advice costs a fraction of what getting it wrong costs.
- **The intellectual property work.** Assignment or licence into the company, and a defined boundary for anything staying outside it, is document drafting to an investor's satisfaction.

Doing the intellectual property work before diligence rather than during it is the cheapest single saving available on this transaction, and it is worth more than any fee negotiation. Same work, materially lower cost, materially stronger position, and no delay to completion.

One thing to put in place

Where an individual takes on the management of the transaction process, that role should be defined in writing and, if appropriate, remunerated. It is real work of real value over three to six months, it displaces a paid mandate, and an investor's counsel will expect to see who is accountable for the process. An undocumented role is harder to recognise afterwards than to define now.

THE SHORT LIST

1. Structure the founder allocation as a secondary sale, and confirm whether €2.2m is the gross or the net.
2. Take tax advice on it before the term sheet, not after.
3. Put the founder allocation, the investor legal cost cap and broken deal costs into the term sheet as agreed terms.
4. Agree and paper the origination fee before completion. Indicative 2 per cent, €400,000, part deferred.
5. Paper any search or recruitment mandate separately, and budget it as an operating cost.
6. Establish the VAT recovery position with the accountants.
7. Complete the intellectual property assignment before diligence starts.
8. Get scoped fee estimates per workstream from two Irish firms with real growth-round experience.

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